

# U.S. Economic Outlook: March 2026

## Times Like These

Monthly

### Summary

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### Summary

- Oil prices have risen sharply since February, creating a renewed headwind for real income growth and raising downside risks to consumer spending at a time when the labor market is already soft. While higher energy costs complicate the outlook, we do not believe current conditions are sufficient on their own to derail the expansion.
- Employment growth has stalled over the past year and real personal income excluding transfers is already under pressure from slowing wage growth and persistent inflation. A sustained increase in gasoline prices would mechanically push inflation higher in the near term and could lead to outright declines in real income over the next few months.
- That said, the sensitivity of aggregate consumer spending to energy shocks has diminished over time. Services account for a larger share of total consumption, demographics are cushioning aggregate demand and fiscal support is providing an offset to weaker labor income.
- Our simulations suggest that a moderate oil price shock would slow, but not reverse, real PCE growth. It would take a larger and more persistent increase in oil prices to generate the kind of broad based spending contraction typically associated with recession.
- We have only incrementally changed our baseline growth forecast at this time. However, the balance of risks has shifted to the downside, particularly if higher energy prices prove persistent or spill over into broader financial conditions.
- While recession risks have risen, we continue to see enough sources of support to growth for the expansion to continue over the next year.
- Despite recent market volatility, our U.S. rates outlook is unchanged: still two 25 bps cuts this year and a 4.25% year-end 10-year Treasury yield, with risks two-sided (later/less easing vs. deeper cuts only if recession tail risks materialize).

### I'm a One-Way Motorway: Higher Oil Prices Add Friction to an Already Slowing Economy

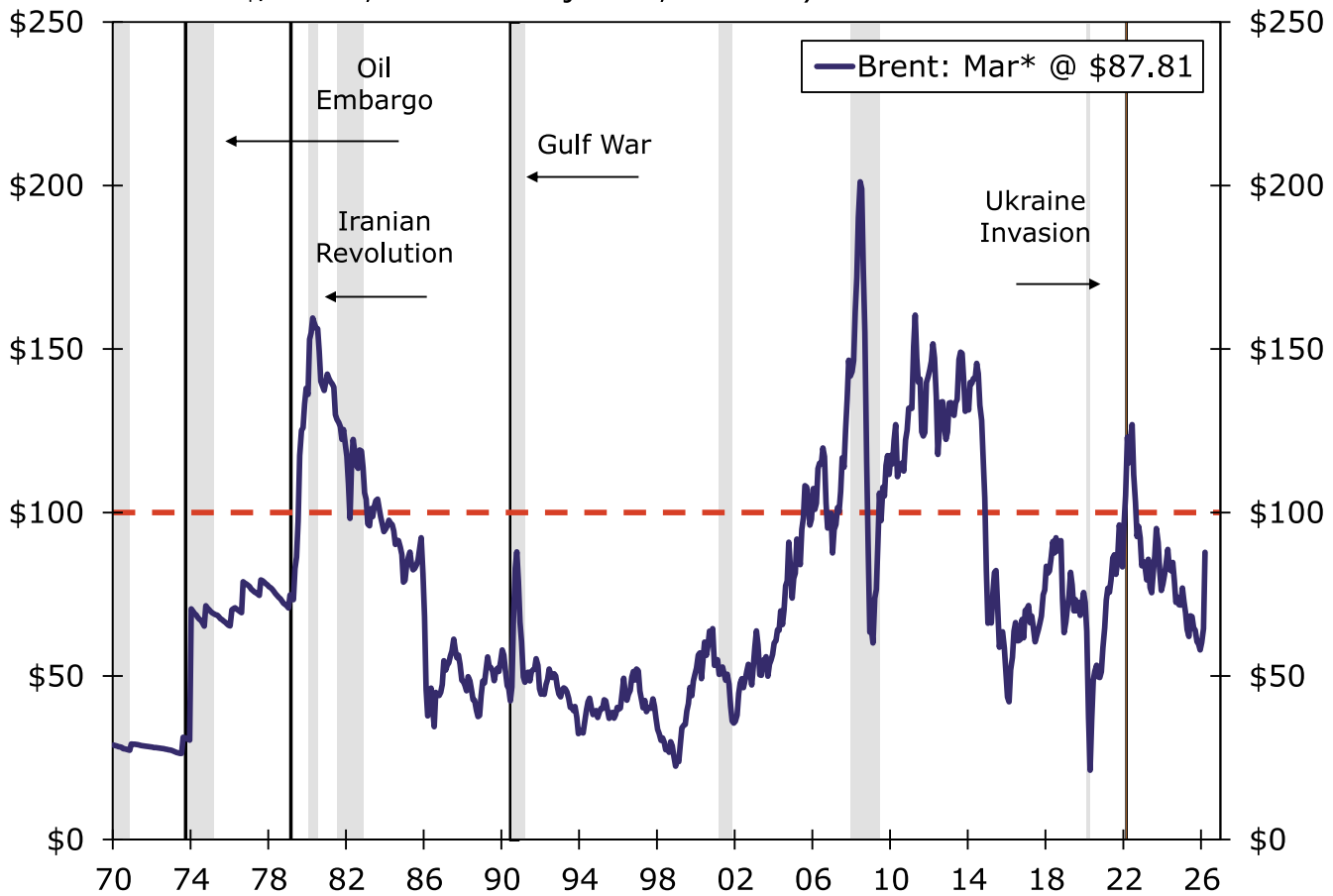
The recent surge in oil prices introduces fresh risk to an already complicated economic environment ([Figure 1](#)). 2026 was shaping up to be a decent year for economic growth despite the conflicting challenges of sluggish labor market momentum and easing, but still elevated, inflation. The jump in oil prices since our February forecast update introduces downside risk, and if sustained, will act as a tax on household purchasing power by pushing up gasoline prices and other energy related costs. Whether that price spike is sustained and at what level oil prices ultimately stabilize will determine the magnitude of the headwinds for the consumer and broader economy. For now, our baseline expectation is that oil prices remain elevated, in the low \$90/barrel range in Q2, before trending back toward the mid- to high- \$70s by year-end. That is consistent with only a measured hit to real income and consumer spending but not the sort of thing that alone would derail the expansion.

This development comes at an inopportune time. Independent of the oil price spike, employment growth has effectively stalled over the past year, with payroll levels treading water amid weak hiring outside a handful of industries ([Figure 2](#)). At the same time, real personal income excluding transfer payments—a metric closely watched by the National Bureau of Economic Research recession dating committee—has lost momentum as wage growth has slowed and inflation has remained sticky. A renewed rise in energy prices would likely push inflation back above 3% in the near term, mechanically eroding real income and placing additional strain on households, particularly the lower- and middle-income households that tend to allocate a greater share of spending to fuel costs.

Figure 1

# Brent Crude Prices

\$/Barrel; Inflation-Adjusted; \*Mid-day as of March 10th

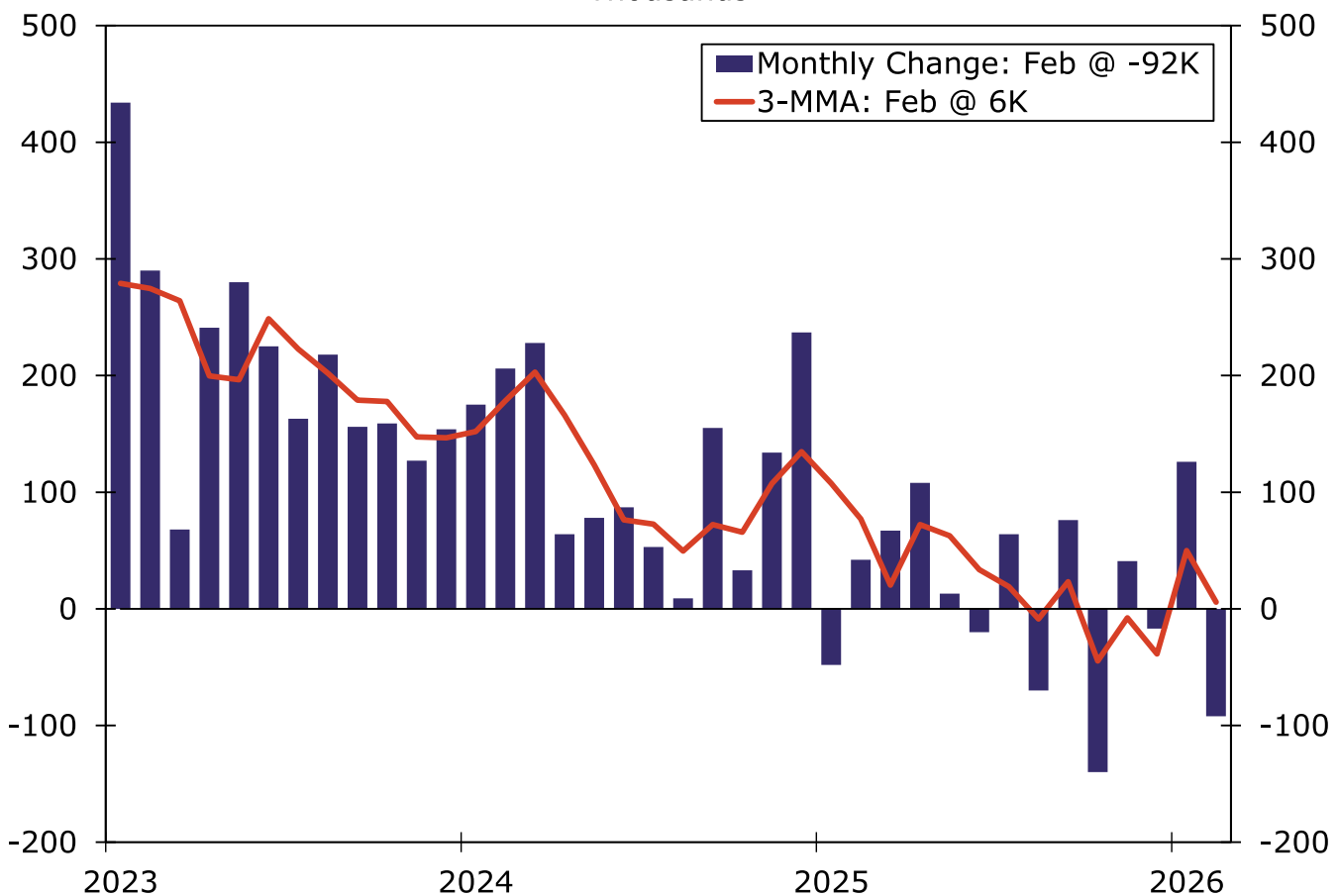


Source: Bloomberg Finance L.P. and Wells Fargo Economics

Figure 2

# U.S. Nonfarm Employment Change

Thousands



Source: U.S. Department of Labor and Wells Fargo Economics

## I'm a Little Divided

These middle- and lower-income households were already under pressure, but help was on the way. We had previously expected fiscal relief from the One Big Beautiful Bill Act to provide a meaningful offset to the shortcomings of a crummy labor market by boosting after-tax cash flow and supporting consumer spending this year. A sharp and sustained increase in gasoline prices can eat into that relief and reduce the net benefit to household purchasing power.

Still, history suggests that oil price shocks do not translate into recessions as mechanically as they once did. The structure of consumer spending has changed in important ways. Much as consumer confidence may be dented by prices at the pump, services now account for more than half of total consumption, with large shares devoted to relatively stable, non-discretionary categories such as housing and healthcare. In addition, spending has become increasingly concentrated among older and higher-income households, whose consumption is less directly tied to near term labor market conditions. These dynamics help explain why broader measures of consumption have remained more resilient than traditional retail indicators would suggest.

## I'm a Road that Drives Away, Then Follows You Back Home

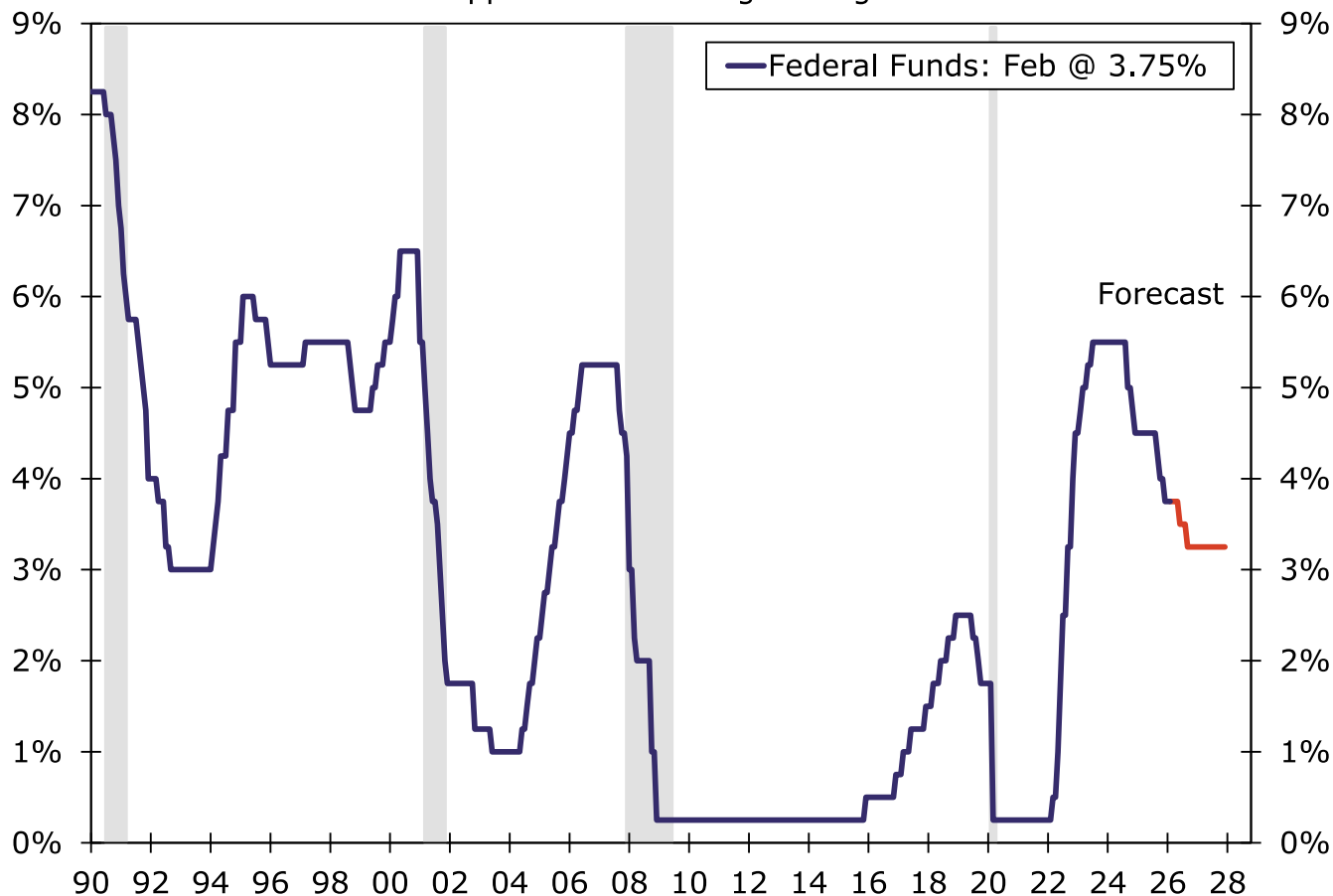
Our analysis indicates that a moderate oil price shock would slow the pace of real PCE growth, but it would be unlikely on its own to produce the outright contraction in consumer spending typically associated with recession. The risk, however, is asymmetric. If higher gasoline prices were to meaningfully depress consumer sentiment or trigger a broader tightening in financial conditions—particularly via equity markets—the drag on activity would be more pronounced.

For policymakers at the Federal Reserve, it's times like these that justify the mantra of “data-dependence.” On face value, the Fed is likely to look through a temporary energy-driven increase in inflation, particularly if labor market conditions remain mostly benign. Tighter monetary policy is not a tool well-suited to resolve an inflation shock driven by higher oil prices. However, inflation expectations are highly sensitive to energy prices, and sustained upward pressure on inflation could narrow the margin for additional easing and delay future rate cuts. For now, we continue to expect policy to move gradually toward neutral. Our base case forecast remains two 25 bps rate cuts at the June and September FOMC meetings ([Figure 3](#)). That said, the longer oil prices remain elevated, the more difficult that may be to realize.

Figure 3

## Federal Funds Target Rate

Upper Bound of Target Range



Source: Federal Reserve Board and Wells Fargo Economics

U.S. Forecast Table

| Wells Fargo U.S. Economic Forecast     |        |         |         |         |         |         |        |        |          |         |         |         |         |         |         |         |         |         |          |         |
|----------------------------------------|--------|---------|---------|---------|---------|---------|--------|--------|----------|---------|---------|---------|---------|---------|---------|---------|---------|---------|----------|---------|
|                                        | Actual |         |         |         |         |         |        |        | Forecast |         |         |         |         |         |         |         | Actual  |         | Forecast |         |
|                                        | 2024   |         |         |         | 2025    |         |        |        | 2026     |         |         |         | 2027    |         |         |         | 2024    | 2025    | 2026     | 2027    |
|                                        | 1Q     | 2Q      | 3Q      | 4Q      | 1Q      | 2Q      | 3Q     | 4Q     | 1Q       | 2Q      | 3Q      | 4Q      | 1Q      | 2Q      | 3Q      | 4Q      |         |         |          |         |
| Real Gross Domestic Product (a)        | 0,8    | 3,6     | 3,3     | 1,8     | -0,6    | 3,8     | 4,4    | 1,4    | 3,4      | 1,3     | 1,9     | 2,3     | 2,2     | 2,5     | 2,4     | 2,5     | 2,8     | 2,2     | 2,5      | 2,2     |
| Personal Consumption                   | 1,7    | 3,9     | 4,0     | 3,9     | 0,6     | 2,5     | 3,5    | 2,4    | 1,9      | 1,7     | 1,9     | 2,2     | 1,8     | 2,2     | 2,3     | 2,1     | 2,9     | 2,7     | 2,2      | 2,1     |
| Business Fixed Investment              | 1,5    | 2,5     | 3,5     | -3,7    | 9,5     | 7,3     | 3,2    | 3,7    | 6,0      | 6,1     | 5,2     | 3,6     | 5,1     | 6,1     | 4,6     | 5,1     | 2,9     | 4,2     | 5,0      | 5,0     |
| Equipment                              | 0,5    | 8,9     | 8,2     | -4,3    | 21,4    | 8,5     | 5,3    | 3,2    | 10,5     | 8,4     | 5,8     | 2,9     | 4,5     | 6,0     | 4,9     | 4,0     | 3,5     | 8,2     | 6,9      | 4,9     |
| Intellectual Property Products         | 6,7    | 0,7     | 2,6     | -0,6    | 6,5     | 15,0    | 5,6    | 7,4    | 5,2      | 5,3     | 5,1     | 4,4     | 6,4     | 7,1     | 4,5     | 6,4     | 3,5     | 5,8     | 6,2      | 5,7     |
| Structures                             | -5,0   | -3,9    | -2,2    | -8,1    | -3,1    | -7,5    | -5,0   | -2,4   | -1,7     | 2,7     | 4,3     | 3,1     | 2,9     | 3,9     | 4,0     | 4,2     | 1,1     | -1,7    | -0,8     | 3,5     |
| Residential Investment                 | 8,2    | -2,0    | -4,8    | 4,3     | -1,0    | -5,1    | -7,1   | -1,5   | -4,2     | -3,5    | 1,5     | 2,9     | 3,7     | 3,9     | 4,2     | 4,4     | 3,2     | -2,2    | -2,9     | 3,0     |
| Government Purchases                   | 2,3    | 3,3     | 5,4     | 3,3     | -1,0    | -0,1    | 2,2    | -5,1   | 11,4     | -1,6    | 0,6     | 0,8     | 1,2     | 1,0     | 1,1     | 1,1     | 3,8     | 1,2     | 1,8      | 0,8     |
| Net Exports                            | -964,1 | -1032,2 | -1064,9 | -1069,0 | -1380,7 | -1058,0 | -955,5 | -949,6 | -1007,8  | -1018,7 | -1029,7 | -1049,4 | -1068,3 | -1086,7 | -1105,0 | -1120,0 | -1032,6 | -1086,0 | -1026,4  | -1095,0 |
| Pct. Point Contribution to GDP         | -0,4   | -1,0    | -0,4    | -0,1    | -4,7    | 4,8     | 1,6    | 0,1    | -1,0     | -0,2    | -0,2    | -0,3    | -0,3    | -0,3    | -0,3    | -0,2    | -0,5    | -0,2    | 0,2      | -0,3    |
| Inventory Change                       | 12,4   | 75,1    | 69,4    | 17,1    | 172,0   | -18,3   | -23,9  | -13,6  | 16,3     | -1,3    | -10,7   | 8,2     | 16,9    | 17,6    | 22,6    | 29,5    | 43,5    | 29,0    | 3,1      | 21,6    |
| Pct. Point Contribution to GDP         | -0,8   | 1,2     | -0,1    | -0,9    | 2,6     | -3,4    | -0,1   | 0,2    | 0,5      | -0,3    | -0,2    | 0,3     | 0,1     | 0,0     | 0,1     | 0,1     | 0,0     | -0,1    | -0,1     | 0,1     |
| Nominal GDP (a)                        | 4,0    | 6,3     | 5,1     | 4,3     | 2,9     | 6,0     | 8,3    | 5,1    | 7,2      | 4,9     | 4,1     | 4,3     | 4,4     | 4,7     | 4,6     | 4,6     | 5,3     | 5,1     | 5,9      | 4,5     |
| Real Final Sales                       | 1,7    | 2,4     | 3,5     | 2,8     | -3,2    | 7,5     | 4,5    | 1,2    | 2,9      | 1,6     | 2,1     | 2,0     | 2,1     | 2,5     | 2,3     | 2,4     | 2,8     | 2,3     | 2,8      | 2,1     |
| Retail Sales (b)                       | 1,8    | 2,5     | 2,3     | 3,9     | 4,5     | 4,3     | 4,4    | 2,9    | 2,8      | 2,8     | 2,0     | 2,4     | 2,6     | 2,3     | 2,0     | 1,6     | 2,6     | 4,0     | 2,5      | 2,1     |
| Inflation Indicators (b)               |        |         |         |         |         |         |        |        |          |         |         |         |         |         |         |         |         |         |          |         |
| PCE Deflator                           | 2,8    | 2,7     | 2,4     | 2,6     | 2,6     | 2,4     | 2,7    | 2,8    | 2,9      | 3,2     | 3,0     | 2,8     | 2,4     | 2,1     | 2,1     | 2,1     | 2,6     | 2,6     | 3,0      | 2,2     |
| "Core" PCE Deflator                    | 3,1    | 2,8     | 2,8     | 3,0     | 2,8     | 2,7     | 2,9    | 2,9    | 2,9      | 2,8     | 2,7     | 2,6     | 2,3     | 2,3     | 2,3     | 2,3     | 2,9     | 2,8     | 2,7      | 2,3     |
| Consumer Price Index                   | 3,2    | 3,2     | 2,7     | 2,7     | 2,7     | 2,5     | 2,9    | 2,7    | 2,6      | 3,4     | 3,1     | 3,0     | 2,6     | 2,0     | 2,0     | 2,1     | 3,0     | 2,7     | 3,1      | 2,2     |
| "Core" Consumer Price Index            | 3,8    | 3,4     | 3,3     | 3,3     | 3,1     | 2,8     | 3,1    | 2,6    | 2,5      | 2,7     | 2,4     | 2,5     | 2,4     | 2,3     | 2,3     | 2,3     | 3,4     | 2,9     | 2,5      | 2,3     |
| Producer Price Index (Final Demand)    | 1,5    | 2,6     | 2,2     | 3,1     | 3,4     | 2,5     | 3,0    | 2,9    | 3,2      | 4,4     | 3,8     | 3,5     | 2,7     | 2,1     | 2,1     | 2,2     | 2,4     | 3,0     | 3,7      | 2,3     |
| Employment Cost Index                  | 4,2    | 4,1     | 3,9     | 3,8     | 3,6     | 3,6     | 3,5    | 3,4    | 3,4      | 3,3     | 3,3     | 3,4     | 3,4     | 3,5     | 3,5     | 3,6     | 4,0     | 3,5     | 3,4      | 3,5     |
| Real Disposable Income (a)             | 4,2    | 2,4     | 1,2     | 2,0     | 2,3     | 1,8     | 0,0    | 0,1    | 5,4      | 0,8     | 2,2     | 2,7     | 2,3     | 2,1     | 1,9     | 2,3     | 2,9     | 1,6     | 2,0      | 2,2     |
| Nominal Personal Income (a)            | 7,6    | 5,4     | 3,6     | 4,9     | 6,4     | 4,3     | 3,3    | 3,5    | 4,9      | 4,4     | 4,3     | 4,7     | 5,1     | 4,3     | 4,0     | 4,4     | 5,6     | 4,7     | 4,2      | 4,5     |
| Industrial Production (a)              | -2,6   | 2,7     | -2,3    | -1,5    | 4,2     | 1,8     | 2,2    | -1,3   | 4,1      | 2,2     | 1,9     | 1,4     | 1,5     | 1,0     | 1,1     | 0,5     | -0,7    | 1,2     | 1,9      | 1,4     |
| Capacity Utilization                   | 76,3   | 76,6    | 76,0    | 75,5    | 76,0    | 76,1    | 76,2   | 75,7   | 76,3     | 76,9    | 77,3    | 77,7    | 78,1    | 78,4    | 78,7    | 78,9    | 76,1    | 76,0    | 77,0     | 78,5    |
| Federal Budget Balance (c)             | -555   | -209    | -544    | -711    | -596    | -30     | -438   | -602   | -663     | -233    | -502    | -596    | -721    | -169    | -464    | -649    | -1817   | -1775   | -2000    | -1950   |
| Trade Weighted Dollar Index (d)        | 115,7  | 117,2   | 113,1   | 119,7   | 117,5   | 111,1   | 110,8  | 111,5  | 111,1    | 110,2   | 110,0   | 111,5   | 112,6   | 113,5   | 115,3   | 116,0   | 116,3   | 113,9   | 110,7    | 114,3   |
| Nonfarm Payroll Change (e)             | 203    | 76      | 72      | 135     | 20      | 34      | 23     | -39    | 22       | 31      | 48      | 63      | 63      | 60      | 58      | 53      | 122     | 10      | 41       | 58      |
| Unemployment Rate                      | 3,8    | 4,0     | 4,2     | 4,1     | 4,1     | 4,2     | 4,3    | 4,5    | 4,4      | 4,5     | 4,5     | 4,4     | 4,4     | 4,4     | 4,3     | 4,3     | 4,0     | 4,3     | 4,4      | 4,4     |
| Housing Starts (f)                     | 1,42   | 1,34    | 1,34    | 1,39    | 1,40    | 1,35    | 1,35   | 1,33   | 1,33     | 1,33    | 1,33    | 1,34    | 1,38    | 1,38    | 1,38    | 1,38    | 1,37    | 1,36    | 1,33     | 1,38    |
| Light Vehicle Sales (g)                | 15,5   | 15,7    | 15,7    | 16,4    | 16,4    | 16,2    | 16,6   | 15,7   | 15,2     | 15,1    | 15,2    | 15,5    | 16,4    | 16,6    | 16,7    | 16,9    | 15,9    | 16,2    | 15,2     | 16,7    |
| Crude Oil - Brent - Front Contract (h) | 81,2   | 84,4    | 78,0    | 73,6    | 74,3    | 65,9    | 67,5   | 62,7   | 75,3     | 92,3    | 84,3    | 76,3    | 73,5    | 71,8    | 71,0    | 70,0    | 79,3    | 67,6    | 82,1     | 71,6    |
| Quarter-End Interest Rates (i)         |        |         |         |         |         |         |        |        |          |         |         |         |         |         |         |         |         |         |          |         |
| Federal Funds Target Rate (j)          | 5,50   | 5,50    | 5,00    | 4,50    | 4,50    | 4,50    | 4,25   | 3,75   | 3,75     | 3,50    | 3,25    | 3,25    | 3,25    | 3,25    | 3,25    | 3,25    | 5,27    | 4,33    | 3,44     | 3,25    |
| Secured Overnight Financing Rate       | 5,34   | 5,33    | 4,96    | 4,49    | 4,41    | 4,45    | 4,24   | 3,87   | 3,65     | 3,40    | 3,15    | 3,15    | 3,15    | 3,15    | 3,15    | 3,15    | 5,15    | 4,24    | 3,34     | 3,15    |
| Prime Rate                             | 8,50   | 8,50    | 8,00    | 7,50    | 7,50    | 7,50    | 7,25   | 6,75   | 6,75     | 6,50    | 6,25    | 6,25    | 6,25    | 6,25    | 6,25    | 6,25    | 8,27    | 7,33    | 6,44     | 6,25    |
| Conventional Mortgage Rate             | 6,82   | 6,92    | 6,18    | 6,72    | 6,65    | 6,82    | 6,35   | 6,20   | 6,10     | 6,16    | 6,15    | 6,15    | 6,15    | 6,20    | 6,20    | 6,20    | 6,72    | 6,60    | 6,14     | 6,19    |
| 3 Month Bill                           | 5,46   | 5,48    | 4,73    | 4,37    | 4,32    | 4,41    | 4,02   | 3,67   | 3,60     | 3,35    | 3,15    | 3,15    | 3,15    | 3,15    | 3,15    | 3,15    | 5,18    | 4,21    | 3,31     | 3,15    |
| 6 Month Bill                           | 5,38   | 5,33    | 4,38    | 4,24    | 4,23    | 4,29    | 3,83   | 3,59   | 3,55     | 3,30    | 3,20    | 3,20    | 3,20    | 3,20    | 3,20    | 3,25    | 5,00    | 4,09    | 3,31     | 3,21    |
| 1 Year Bill                            | 5,03   | 5,09    | 3,98    | 4,16    | 4,03    | 3,96    | 3,68   | 3,48   | 3,45     | 3,35    | 3,30    | 3,30    | 3,30    | 3,30    | 3,35    | 3,40    | 4,69    | 3,91    | 3,35     | 3,34    |
| 2 Year Note                            | 4,59   | 4,71    | 3,66    | 4,25    | 3,89    | 3,72    | 3,60   | 3,47   | 3,50     | 3,40    | 3,40    | 3,40    | 3,40    | 3,45    | 3,50    | 3,55    | 4,37    | 3,81    | 3,43     | 3,48    |
| 5 Year Note                            | 4,21   | 4,33    | 3,58    | 4,38    | 3,96    | 3,79    | 3,74   | 3,73   | 3,65     | 3,65    | 3,65    | 3,70    | 3,70    | 3,75    | 3,80    | 3,80    | 4,13    | 3,92    | 3,66     | 3,76    |
| 10 Year Note                           | 4,20   | 4,36    | 3,81    | 4,58    | 4,23    | 4,24    | 4,16   | 4,18   | 4,10     | 4,15    | 4,20    | 4,25    | 4,25    | 4,30    | 4,30    | 4,30    | 4,21    | 4,29    | 4,18     | 4,29    |
| 30 Year Bond                           | 4,34   | 4,51    | 4,14    | 4,78    | 4,59    | 4,78    | 4,73   | 4,84   | 4,75     | 4,80    | 4,85    | 4,90    | 4,95    | 5,00    | 5,00    | 5,00    | 4,41    | 4,78    | 4,83     | 4,99    |

Forecast as of: March 11, 2026

Notes: (a) Compound Annual Growth Rate Quarter-over-Quarter (e) Average Monthly Change (i) Quarterly Data - Period End; Annual Data - Annual Averages

(b) Year-over-Year Percentage Change (f) Quarterly Data - Average Monthly SAAR; Annual Data - Actual Total Houses Started (j) Upper Bound of the Federal Funds Target Range

(c) Quarterly Sum - Billions USD; Annual Data Represents FisB21 Year (g) Quarterly Data - Average Monthly SAAR; Annual Data - Actual Total Vehicles Sold

(d) Federal Reserve Advanced Foreign Economies Index, 2006=100 - Quarter End (h) Quarterly Average of Daily Close

Source: U.S. Department of Commerce, U.S. Department of Labor, IHS Markit, Federal Reserve Board and Wells Fargo Economics

Forecast Delta Table

Source: U.S. Department of Commerce, U.S. Department of Labor, IHS Markit, Federal Reserve Board and Wells Fargo Economics

Personal Consumption Expenditures (PCE)

- We've reduced our forecast for consumer spending this year amid higher oil prices and expect real PCE to grow at an average annualized clip of 2.2% (down from 2.4% previously). Think of higher oil prices like a tax on consumer spending.

Just like taxes, higher gas prices too weigh on real income growth, though we do not expect a collapse in aggregate consumption under our base case. Households devote a relatively small share of their budgets directly to gasoline and energy goods, but these expenditures are difficult to reduce when prices rise. Moreover, gasoline prices carry an out-sized psychological impact, shaping perceptions of inflation and purchasing power. Our real disposable income

forecast is now lower in this update reflecting our higher oil price assumptions feeding through to higher consumer inflation. As a result, we've reduced our annual average growth rate for real PCE by 0.2 percentage points and the level reduction at year-end is equivalent to just about half of the previously anticipated boost from the One Big Beautiful Bill Act.

## Investment: Equipment, Intellectual Property Products and Inventories

- We have not altered our outlook for business investment, which continues to be supported by structural forces largely independent of energy costs.

Capital spending remains anchored by the build out of generative AI capacity, a dynamic that appears relatively insensitive to near-term fluctuations in oil prices. A sustained increase in energy prices could also support investment in U.S. energy production, though those gains would likely materialize more slowly than the near-term drag on consumers. On balance, we continue to expect business investment to act as a stabilizing force for growth this year.

Source: U.S. Department of Commerce and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

## Investment: Residential

- We have not made any major adjustments to the outlook for residential investment.

Adverse affordability remains a significant limitation for the residential sector. Although slightly lower mortgage rates have led to a modest improvement in home sales, our expectation for financing costs to remain elevated (averaging between 6.1% and 6.2% over the forecast horizon) means home buying activity will likely continue to run at a sluggish rate. In addition to lackluster demand, new single-family construction appears set to downshift as builders realign high inventory levels with sales. Lower financing costs and firming apartment market conditions should promote a modestly stronger pace of new multifamily construction. Reduced interest rates, improved turnover, positive home price appreciation and elevated homeowner equity levels should support growth in home improvement outlays, with labor and building material inflation remaining as limitations.

## Investment: Nonresidential Structures

- We have boosted our near-term forecast for structures investment based on the expectation for higher oil prices to lead to a pick-up in energy investment.

Private nonresidential construction spending weakened at the end of 2025, continuing a downtrend largely brought on by higher interest rates and less-restrictive monetary policy should help bring a turnaround over the course of 2026. Meanwhile, select "mega-project" categories such as data center, power and communication have outperformed and should continue to do as AI investment continues to expand at a strong rate. The major catalyst for our stronger structures investment outlook, however, is our anticipation for a spike in oil prices well above drilling break-even levels to lead to a temporary upshift in new energy-related investment.

Source: U.S. Department of Commerce and Wells Fargo Economics

Source: U.S. Department of Commerce, U.S. Department of Energy and Wells Fargo Economics

## Labor Market

- A weaker pace of hiring and a rising unemployment rate reinforce the labor market's fragility. We trimmed our payroll outlook and modestly marked up our unemployment rate forecast this month.

The labor market remains in a delicate position. Payrolls unexpectedly declined in February and prior months' data were again revised meaningfully lower. While strikes and poor weather played a role in February, the ease with which these idiosyncratic factors tipped job growth into negative territory underscores its weak underlying momentum. Renewed uncertainty amid the conflict in the Middle East and optimism around the productivity-enhancing potential of AI are poised to keep demand for new workers tepid. We now expect nonfarm employment to rise at a roughly 40K monthly average pace this year, down from about 70K previously. The more modest hiring pace is likely to push the unemployment rate up to 4.5% in Q2 and Q3, remaining uncomfortably above most Fed officials' definition of "full employment."

## Inflation

- The energy price shock will lift headline inflation in the near term. We now expect the PCE deflator to rise 2.8% on a Q4-over-Q4 basis, up from 2.5% previously.

Higher oil and gasoline prices tied to the conflict in the Middle East will lift headline inflation in the near term. We revised up our headline PCE forecast and now look for inflation to peak at 3.2% in Q2. Food inflation should continue to moderate despite the energy shock, as food-related commodity prices have been easing for months. More broadly, the impulse to underlying inflation should be limited. Crude oil prices are expected to crest around mid-year and gradually retreat in the second half, which should restrain pass-through to core goods and services. We do not expect the IEEPA refunds to materially change the path of core goods inflation either, as firms are still working through tariff-related costs incurred last year. Even with still-solid goods inflation, softer shelter cost growth and broadening consumer price fatigue are likely to contain core inflation in the months ahead.



Source: U.S. Department of Commerce and Wells Fargo Economics

## Fiscal Policy

- The near-term U.S. fiscal outlook has deteriorated somewhat since our previous monthly forecast update. We now project FY 2026 and 2027 budget deficits of \$2.00 trillion and \$1.95 trillion, respectively, up from \$1.85 trillion and \$1.90 trillion in our February forecast.

A few different factors have led us to revise our budget deficit forecasts wider. First, the Supreme Court overruling President Trump's authority to use IEEPA to impose broad-based tariffs threatens the tariff revenue outlook. The Trump administration's move to reimpose tariffs via Section 122 authority should replace most, but not all, of the lost revenue. Furthermore, there are questions about what new tariffs will go into effect after the Sec. 122 measures lapse this summer. Second, it appears increasingly likely that the Trump administration will be required to pay refunds to the businesses that originally paid the IEEPA tariffs, and this could add another \$100–\$150 billion to the FY 2026 budget deficit if they are paid out in the months ahead, as our base case forecast assumes. Third, a supplemental budget bill likely will be needed to replenish military munitions and provide other support to the military as it fights the ongoing Iran conflict. This bill could amount to \$50–\$100 billion of new spending, although that spending likely will be doled out over several years rather than all at once.

## Monetary Policy & Interest Rates

- Despite the financial market volatility, we have not made any major forecast changes to our rate outlook. We still project two 25 bps rate cuts from the FOMC this year, and our year-end forecast for the 10-year Treasury yield is also unchanged at 4.25%.

Our U.S. rates forecast is generally unchanged, as we have not altered our outlook for the federal funds rate, and the move in the 10-year Treasury yield over the past couple weeks (3.93% on Feb. 27 right before the Iran conflict started to 4.13% as we went to print) has brought longer-term rates closer to where our February forecast update believed they would finish the quarter. The risks to our rates forecast look very two-sided. We think the risks to our fed funds rate forecast are skewed toward later and/or less easing, and this would argue for modestly higher rates than we currently project, especially at the short and intermediate end of the yield curve. However, should the tail risk of a U.S. recession materialize, much deeper rate cuts could be possible down the road.

Source: U.S. Department of the Treasury, U.S. Department of Commerce and Wells Fargo Economics

Source: U.S. Department of the Treasury and Wells Fargo Economics

Net Exports

- We've marginally lowered our import growth forecast this year amid a slower consumer spending profile, but our overall expectations remain broadly similar to last month, as we still expect the trade deficit to widen over the course of the year.

U.S. international trade flows remain volatile as importers heavily curtailed imports last year in the wake of tariff uncertainty. The Court of International Trade (CIT) ruled that all tariffs paid under the International Emergency Economic Powers Act (IEEPA) must be refunded and the Customs Protection Bureau (CPB) said they should be able to have a system operational by mid- to late-April. We assume a majority of the \$167B in refunds are paid out in late-Q2 and Q3, which may be profit-margin protecting for some firms, but is unlikely to have a stimulative effect on growth. We assume tariffs remain in effect around current levels throughout our forecast horizon, with the administration using other statutes to reimpose tariffs once the 150 days under Sec. 122 expire. Trade flows should begin to normalize as the year progresses, resulting in a widening in the U.S. international trade deficit.

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All estimates/forecasts are as of 3/11/2026 unless otherwise stated. 3/11/2026 6:00:00 EDT.

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